

Problems of Investment Policy

Although, strictly speaking, security analysis may be carried on without reference to any definite program or standards of investment, such a specialization of functions would be quite unrealistic. Critical examination of balance sheets and income accounts, comparisons of related or similar issues, studies of the terms and protective covenants behind bonds and preferred stocks—these typical activities of the securities analyst are invariably carried on with some practical idea of purchase or sale in mind, and they must be viewed against a broader background of investment principles, or perhaps of speculative precepts. In this work we shall not strive for a precise demarcation between investment theory and analytical technique but at times shall combine the two elements in the close relationship that they possess in the world of finance.

It seems best, therefore, to preface our exposition with a concise review of the problems of policy that confront the security buyer. Such a discussion must be colored, in part at least, by the conditions prevailing when this chapter was written. But it is hoped that enough allowance will be made for the possibility of change to give our conclusions more than passing interest and value. Indeed, we consider this element of change as a central fact in the financial universe. For a better understanding of this point we are presenting some data, in conspectus form, designed to illustrate the reversals and upheavals in values and standards that have developed in the past quarter century.

The three reference periods 1911–1913, 1923–1925, and 1936–1938 were selected to represent the nearest approximations to “normal,” or relative stability, that could be found at intervals during the past quarter century. Between the first and second triennium we had the